

savings account. When interest rates are very low, the earnings may be minimal, but when rates are higher, the savings can be substantial over time.

Minimizing Fees

Banks make billions of dollars annually on various fees, and the amounts are growing each year. You probably accept bank fees without question, but why pay more than you have to when it's relatively easy to minimize fees?

Banks use several methods to calculate your average daily balance and interest. If you usually keep a significant balance in an interest-bearing bank account, it's to your advantage to keep it in a bank that uses the average daily balance method for calculating your minimum balance and interest. This reduces the chances of incurring fees if you dip below the minimum balance during the month (as long as your average daily balance for the entire month is not below the minimum). You also earn interest on all your money.

When you borrow money, the costs are stated in terms of interest rates, so it seems fairly easy to choose the best deal, but it's not always as simple as it appears. A lower interest rate will not necessarily save you money if fees and other charges are added in. Be sure to read the small print.